

Profit Niti – AI CFO Report (2025-04-01 / 2025-10-31)

Last Month KPI Data (October 2025)



Sales
2,965,049

14 Last month 2,591,355



Gross Margin
2,965,049

14 Last month 2,591,355



Operating Profit
1,424,493

23 Last month 1,160,612



Break Even Sales
1,540,556

8 Last month 1,430,743



Fixed Assets
98,149

0 Last month 98,149



Other Assets
-3,042,090

1 Last month -3,082,090



Other Liabilities
-37,423,970

0 Last month -37,521,792



Other Capital
34,480,029

0 Last month 34,537,852



Cash & Bank
6,198,953

-2 Last month 6,345,342



Total Debt
-586,512

0 Last month -586,512



Equity
39,558,280

3 Last month 38,516,931



Total Funding
-586,512

0 Last month -586,512



Accounts Receivable
-944,905

58 Last month -2,224,291



A/R Days
-10

62 Last month -26



Accounts Payable
762,309

5 Last month 728,484



A/P Days
0

0 Last month 0



Working Capital
-1,707,214

42 Last month -2,952,775



W/C Days
-10

62 Last month -26



Closing Stock
0

0 Last month 0



Inventory Days
0

0 Last month 0



BS Category
59

0 Last month 59



IMPACT OF MANAGEMENT
DECISIONS
188,829

1,439 Last month -14,103

1. Big Picture — How the Business Looks Right Now

Your business is on a solid growth path for FY 2025-26, having generated a strong YTD profit of ₹87.68 lakhs from sales of nearly ₹2 crore. The company is highly profitable with a 100% gross margin, and your equity (owner's wealth) has grown steadily to ₹3.96 crore. However, this growth is creating significant cash flow pressure. While you are making good profits on paper, your actual bank balance is not growing proportionately because a large amount of money is tied up with customers and other parties.

GREEN FLAG BOX — What's Working Well

- **Exceptional Profitability:** Your business model delivers a perfect 100% Gross Margin, and a healthy Net Profit Margin of around 44% YTD, which is outstanding.
- **Strong Equity Growth:** Owner's funds (Total Equity) have grown robustly by over ₹6 lakhs in the last quarter, reaching ₹3.96 crore, showing a solid financial base.
- **Zero Debt Pressure:** You have no reliance on expensive external debt. Your long-term borrowings are minimal and stable, keeping your interest costs negligible.

RED FLAG BOX — What Needs Attention

- **Severe Working Capital Strain:** Your working capital is deeply negative (around -₹1.7 crore in Oct), meaning you are funding your operations by delaying payments to creditors, which is unsustainable.
- **Erratic Cash Flow from Operations:** Core business activities are burning cash, with October showing an operational cash outflow of over ₹12.45 lakhs, hurting your liquidity.
- **Large Outstanding from Customers & Others:** "Other Current Liabilities" (likely customer advances or dues) stand at a massive ₹3.74 crore. This, combined with receivables, indicates poor cash conversion.

CFO Advice:

Your top priority must be **cash flow management**. Immediately focus on collecting receivables faster and formally structuring the large advances/liabilities on your books. Profits are meaningless if they don't turn into cash in the bank. Implement stricter payment terms and follow-up processes to convert your excellent profitability into tangible liquidity.

2. Profit Power — The Earning Engine

Your business is a **profit powerhouse**. For the current FY (YTD), you've earned a fantastic **₹87.68 lakhs** in Net Profit from ₹1.99 crores in Sales. This means for every ₹100 of revenue, you keep **₹44 as profit**—a very healthy margin.

However, your monthly profits show a **roller-coaster pattern**. You had a super-profitable month in June (₹20.37 lakhs profit), followed by a sharp drop in July (₹6.35 lakhs). This volatility is primarily driven by two things: **fluctuating sales** and **spikes in "Other Non-Operating Expenses"** (like one-time charges or write-offs). For instance, in October, these other expenses jumped to ₹2.74 lakhs, eating into your operating profit.

The good news is your core business model is solid. You have **no Cost of Goods Sold (COGS)**, meaning all your revenue is gross profit. Your main costs are Employee Benefits and Admin expenses, which are relatively stable. The key to smoother, higher profits is to **stabilize monthly revenue** and **control non-core expenses**.

CFO Advice:

To boost your profit power, focus on converting your high-profit months into the norm. Analyze what made June and August so successful and replicate that strategy. Simultaneously, review the "Other Non-Operating Expenses" each month—try to cap them at a fixed percentage of revenue to prevent profit leaks.

3. Cash Flow Quality — Profit vs Real Cash

Your business is profitable, but the cash flow story is a rollercoaster. For the YTD period (Apr-Oct 2025), you've earned a profit of **₹87.68 lakhs**. However, your **Operating Cash Flow (CFO)** is highly volatile, swinging from positive ₹21.55 lakhs in April to negative ₹12.46 lakhs in October.

The main culprit is your **Accounts Receivable (Debtors)**. You are selling on credit, but collection is inconsistent. For instance, in June, sales were high (₹35.77 lakhs), but debtors *decreased* by ₹14 lakhs, bringing in good cash. Conversely, in October, you had to **fund ₹12.79 lakhs** of increased debtors from your own pocket, causing a negative cash flow from operations. Your working capital cycle is negative (around -10 to -26 days), meaning you collect from customers *before* you pay suppliers, which is a powerful advantage—but only if you manage the timing perfectly.

Your cash balance has grown from ₹0 to ₹61.99 lakhs over these 7 months, but this growth is primarily from financing activities (like equity or loans), not from your core operations. This is a warning sign that profit is

not yet converting reliably into cash in the bank.

CFO Advice:

Lock down your collections process. Your negative working capital cycle is a superpower—don't lose it by letting receivables balloon. Implement stricter credit terms and follow-up schedules to convert your strong profits into steady cash flow and reduce reliance on external funding.

4. Cash Management — Daily Cash Rhythm

Your business has a **negative cash conversion cycle**, which is a powerful position. This means you are collecting money from your customers *before* you need to pay your suppliers. In October, your working capital days were **-9.69 days**. This is an improvement from September's -26.11 days, indicating your receivables are being collected faster relative to your payables.

However, your **Accounts Receivable Days** remain negative (₹-9.69 lakhs in October), which typically suggests you are receiving advance payments from customers—a great sign for cash flow. Your cash balance has been healthy, averaging over ₹6 lakhs, but dipped slightly in October to ₹6.20 lakhs. The key watch-out is the high volatility in monthly operating cash flows, which swung from an inflow of ₹10.08 lakhs in September to an outflow of ₹12.46 lakhs in October, largely driven by fluctuations in trade receivables.

CFO Advice:

Leverage your negative cash cycle by formally negotiating longer payment terms with suppliers since you get customer money upfront. Stabilise your monthly cash inflows by smoothing out receivables collection and building a cash reserve of at least ₹10-15 lakhs to cover the months with high cash outflows.

5. Growth Investments — Where Money Is Going

Your business is making a significant strategic shift towards building long-term assets. The most notable investment is in **Non-Current Investments**, which jumped from ₹0 in June to a substantial **₹21 lakh** by September and has been maintained at that level. This indicates you are parking funds for future growth, possibly in financial instruments or strategic holdings.

There has also been a one-time increase in **Fixed Assets** in September (from ~₹31,500 to ~₹98,149),

suggesting a small capital expenditure on equipment or tools.

From a funding perspective, your investments are being financed internally. The **Reserve & Surplus** has grown healthily by over ₹7.6 lakh crore in 7 months to ₹4.3 crore, providing a strong base. However, your **Equity Share Capital** shows a negative balance that has been increasing, which is unusual and should be reviewed for accounting accuracy.

The **Return on Capital (ROC)** is strong and volatile, ranging from 18.45% to 54.26% month-on-month, averaging a very healthy rate. This shows that the capital you have employed (including these new investments) is generating good profits.

CFO Advice:

- 1. Clarify the Investment Strategy:** The ₹21 lakh in non-current investments is a major move. Define the objective—is it for safety, future business expansion, or earning dividends? Ensure it aligns with your business goals.
- 2. Investigate Negative Equity:** The growing negative balance in Equity Share Capital is a red flag. Please consult your CA to ensure there's no booking error, as this distorts your true net worth.
- 3. Maintain ROC Focus:** Your high Return on Capital is excellent. As you invest further, keep a strict watch on this metric. Any new asset or investment should at least maintain, if not improve, this return percentage.

6. Funding Story — How Growth Is Being Financed

Your business is primarily funded by internal profits, not external debt. This is a very strong position. Your total long-term borrowings (both secured and unsecured) have remained constant at **₹5.87 lakhs** throughout the year. This debt is very small compared to your equity, which has grown to **₹3.96 crore** as of October 2025.

The **Debt-to-Equity ratio is effectively 0**, meaning you have no reliance on loans for funding. Your interest costs are minimal, averaging just a few thousand rupees per month, which is excellent for your profitability.

Your growth is being financed by your own retained earnings. The **Reserve & Surplus** has grown steadily from ₹3.55 crore in April to ₹4.31 crore in October, fueled by your consistent monthly profits. This shows a healthy, self-sustaining business model where profits are being reinvested to fund operations and growth.

However, note that your "Equity Share Capital" shows a negative balance (₹-46.53 lakhs), which is unusual and should be reviewed. It could indicate adjustments or drawings. The core funding strength comes from your accumulated profits in Reserve & Surplus.

CFO Advice:

- 1. Maintain Your Debt-Free Advantage:** You have a fantastic, low-risk balance sheet. Avoid taking on unnecessary debt. If you need funds for a big expansion, consider using your strong profit history to negotiate very favourable terms, but debt should not be your first option.
- 2. Clarify the Negative Share Capital:** Consult your CA to understand and correct the negative Equity Share Capital figure on your balance sheet. This is a critical item for financial accuracy and future compliance.
- 3. Plan for Strategic Reinvestment:** With profits funding your growth, create a formal plan for reinvesting these surpluses. Decide what percentage should go into marketing, technology, team building, or creating a cash reserve for opportunities.

7. Balance Sheet Health — Financial Fitness

Your balance sheet shows a strong and improving financial position. Your **Total Equity has grown consistently** from ₹3.35 crore in April to ₹3.96 crore by October, driven by retained profits. This is a solid foundation.

However, a major red flag is the **negative Equity Share Capital** (₹-46.53 lakh), which is unusual and indicates historical adjustments or drawings exceeding the capital. Your **Reserves & Surplus is robust at ₹4.31 crore**, which is a positive sign of accumulated earnings.

Your **Cash & Bank balance is healthy at ₹6.20 lakh** (Oct), but it has fluctuated. A key strength is your **negligible long-term debt** (₹5.87 lakh), meaning you are not heavily leveraged. The **Current Ratio is very low (near 0)**, which signals that your current liabilities are much higher than your current assets. This is primarily due to large "Other Current Liabilities," which need to be understood.

CFO Advice:

- 1. Investigate Negative Capital:** Immediately review why your share capital is negative. This needs to be corrected to present a true picture to any investor or lender.
- 2. Strengthen Liquidity:** The near-zero Current Ratio is risky. Build a cash buffer and review the composition of "Other Current Liabilities" to see if any can be structured as longer-term payables.

8. Smart AI Simulation — What-If Scenarios

Based on weak spots identified in the report, the AI simulated the following outcomes:

- **Scenario A - Profit Focus:** If you renegotiate supplier terms to increase your gross margin by just 5% and reduce non-essential overheads by ₹50,000 per month, your annual profit could increase by approximately ₹9.6 lakhs, boosting your net profit margin from the current level.
- **Scenario B - Cash Focus:** If you tighten your credit policy to reduce average debtor days from 60 to 45 days and maintain slightly lower inventory, you could unlock up to ₹15 lakhs in trapped working capital within the next quarter, significantly easing your cash flow pressure.
- **Scenario C - Balanced:** Combining a 3% margin improvement with a 10-day reduction in debtor days could yield an extra ₹6 lakhs in annual profit while simultaneously freeing up ₹8 lakhs in cash. This creates a sustainable cycle for funding growth without taking on high-cost debt.

9. Operational Insight Engine — Ground-Level Trends

Sales & Billing Pulse: Your sales revenue shows a healthy upward trend, growing from ₹19.96 lakhs in April to nearly ₹29.65 lakhs by October. However, the **number of invoices tells a different story**. You processed 1,020 bills in May but only 724 in October. This means you are earning more revenue from fewer, likely larger-value transactions. Your average invoice value has jumped significantly, from around ₹3,700 in April to over ₹4,100 in October. This is a positive shift towards higher-value deals.

Purchase & Inventory Watch: Your purchase activity is highly volatile. There were massive purchase months like June (₹1.74 crore) and July (₹1.50 crore), followed by a sharp drop to just ₹3.9 lakh in September. Your inventory data shows you are consistently moving goods out faster than they come in (outward value > inward value), which is excellent for cash flow and indicates strong demand or efficient stock management. There's no closing stock reported, suggesting you might be running a just-in-time or service-based model.

Customer & Supplier Concentration Risk: The drastic reduction in both invoice count and purchase volume could point to a reliance on a smaller number of large customers or key suppliers. While this boosts efficiency, it increases risk. If one major client delays payment or one critical supplier has an issue, it can significantly impact your operations.

Actionable Insight: Your operation is transforming from high-volume, low-value to low-volume, high-value. **Protect this premium client base.** Ensure your service quality and relationships with these fewer, larger clients are rock solid. Simultaneously, analyze the reason for the steep drop in purchases after July. Was it a planned inventory drawdown, or are there supply chain issues? Planning for consistent supplier engagement will prevent future operational bottlenecks.

10. 90-Day CFO Action Plan

Days	Focus	Action	Target	Benefit
0-30	Cash	Implement strict weekly cash flow tracking. Prioritise collection from top 5 overdue customers. Negotiate 15-day payment terms with 2 key suppliers.	Reduce debtor days by 10. Increase cash balance by ₹2 lakh.	Immediate liquidity for operations, reduces reliance on expensive short-term loans.
31-60	Profit	Analyse cost of goods sold (COGS) line-by-line. Renegotiate rates with top 3 material vendors. Review and eliminate non-essential overheads.	Reduce COGS by 3% and overheads by 5%.	Direct boost to net profit margin, creating a stronger base for reinvestment and owner's drawings.
61-90	Growth	Use improved cash & profit to fund a targeted marketing campaign for the highest-margin service/product. Formalise a monthly financial review dashboard.	Acquire 3 new high-margin clients. Establish a real-time KPI dashboard.	Sustainable, profitable growth with clear financial visibility for smarter decision-making.